

Shriram Finance Ltd

SHRIRAMFIN

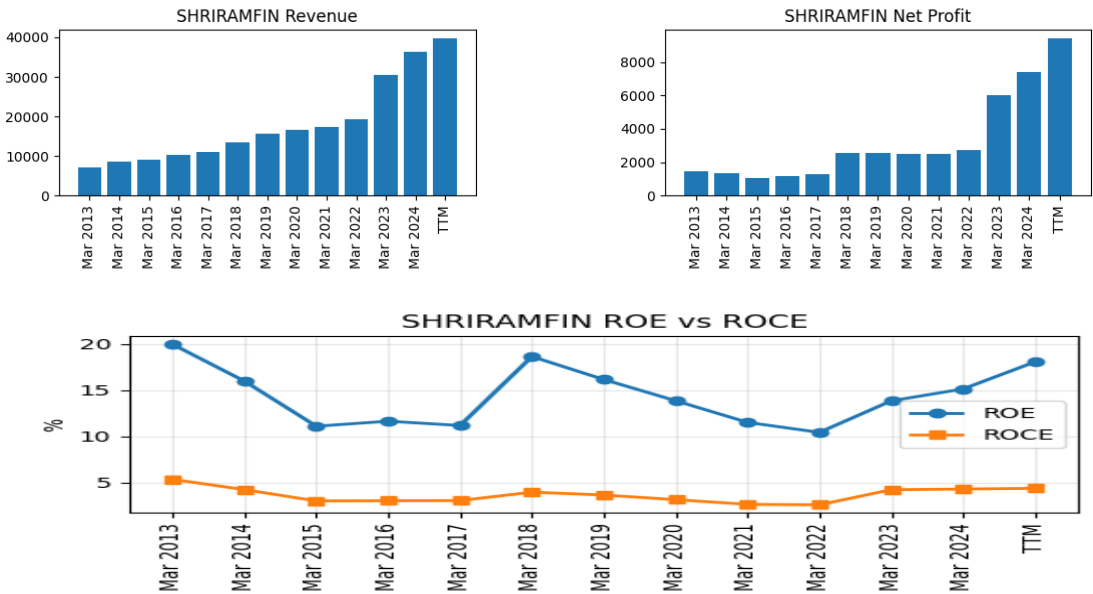
Key Financial Metrics

ROE 18.04%	ROCE 4.39%	Debt / Equity 3.97
Revenue CAGR 16.15%	FCF Conversion -420.34%	Quality Score 24.52

Company Profile

Company	Shriram Finance Ltd
Sector	Financials
Industry	Consumer Finance
Market Cap (■ Cr)	868,933.47
P/E Ratio	68.53
P/B Ratio	7.91
Dividend Yield	1.86%

Financial Performance



AI Investment Summary

Shriram Finance Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, average capital efficiency, rapid revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 24.5/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Low interest coverage indicates potential difficulty servicing debt if earnings fall.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Operating profit margin above 25% indicates strong pricing power and cost discipline.	• High leverage relative to equity can restrict future capital flexibility. • Return on capital employed below 10% indicates weak capital efficiency. • Low interest coverage indicates potential difficulty servicing debt if earnings fall. • Two consecutive years of negative free cash flow point to weak cash generation.

Investment Recommendation

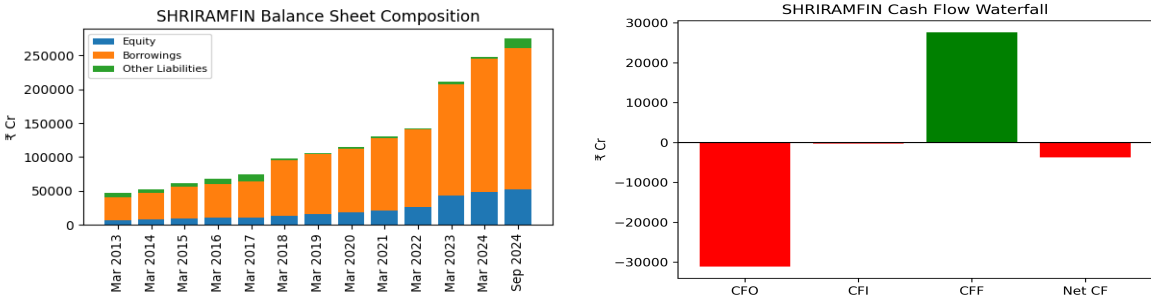
Recommendation	AVOID
Risk Level	VERY HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 24.5/100, supported by 3 identified strengths, 4 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 24.5

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
Growth	Strong

Cash Flow	Weak
Leverage	Weak
Valuation	Expensive

Capital Allocation

Growth Funded by Debt